

M/S S.A. Enterprises v. State of U.P. & 5 Others

Allahabad High Court · Division Bench · 19 October 2023 · 2023:AHC:202879-DB · Writ - C No. 31136 of 2023 · **Writ petition allowed; final assessment dated 19.06.2023 quashed and remanded to the Executive Engineer to consider the reply and pass a fresh final assessment; recovery citation dated 19.08.2023 quashed**

HEADNOTE

Where counsel states that a final assessment is non-speaking, left the consumer's reply to the provisional assessment unconsidered, and did not comply with Clause 6.8(c)(i) of the Electricity Supply Code, 2005, and the Electricity Department does not dispute that, the final assessment is quashed and the matter is remanded to the Executive Engineer to consider the reply and pass a fresh final assessment. The recovery citation dated 19 August 2023, founded on that assessment, is quashed with it. The writ petition is allowed. A correction allowed on 30 October 2023 requires the order to be read as: inspection 9 January 2023, provisional assessment 12 January 2023, replies on 25 January 2023 and 31 March 2023, and final assessment 19 June 2023. The Court did not decide the merits or quantum, and did not set out the text of Clause 6.8(c)(i).

FACTUAL SUMMARY

M/S S.A. Enterprises petitioned the Allahabad High Court against the State of U.P. and five others in Writ-C No. 31136 of 2023. An inspection on 9 January 2023 was followed by a provisional assessment dated 12 January 2023. The firm replied on 25 January 2023 and supplemented that reply on 31 March 2023. A final assessment was passed on 19 June 2023, and a recovery citation dated 19 August 2023 was issued.

After adjournments, including allowance of an amendment application, the petition was heard on 19 October 2023. Counsel submitted that the final assessment was non-speaking, had not considered the reply, and did not comply with Clause 6.8(c)(i) of the Electricity Supply Code, 2005. Counsel for the Electricity Department did not dispute that submission. A correction application allowed on 30 October 2023 directs those dates to be read as stated: the order as pronounced had transposed the inspection and provisional-assessment dates and had dated the final assessment 15 June 2023.

REUSABLE CONSTRUCTIONS

1. Where it is not disputed that a final assessment is non-speaking, has not considered the consumer's reply to the provisional assessment, and does not comply with Clause 6.8(c)(i) of the Electricity Supply Code, 2005, that final assessment is quashed. ¶ 1-3
2. On such a quashing the matter is remanded to the Executive Engineer, who must consider the reply already filed and pass a fresh final assessment. ¶ 3
3. A recovery citation founded on a final assessment quashed for non-compliance with Clause 6.8(c)(i) is quashed with that assessment. ¶ 4

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8(c)(i)

Undisputed non-speaking final assessment that leaves the reply unconsidered is quashed and remanded; the recovery citation falls with it

QUESTION

Where the Electricity Department does not dispute that a final assessment is non-speaking, left the consumer's reply unconsidered, and did not comply with Clause 6.8(c)(i) of the Electricity Supply Code, 2005, can that assessment and the recovery citation founded on it stand?

HOLDING

No. The petitioner was given a provisional assessment on the basis of an inspection, replied on 25.01.2023, and supplemented that reply on 31.03.2023, after which a final assessment was passed. Counsel stated that

the final order was non-speaking, had not considered the reply, and did not comply with Clause 6.8(c)(i) of the Electricity Supply Code, 2005. Counsel for the Electricity Department did not dispute that. The final assessment was quashed and the matter remanded to the Executive Engineer, who is to consider the reply and pass a fresh final assessment. Because that assessment was quashed, the recovery citation dated 19.08.2023 was also quashed, and the writ petition was allowed. A correction later directed the inspection to be read as 09.01.2023, the provisional assessment as 12.01.2023, and the final assessment as 19.06.2023.

¶ 1-5

QUALIFIER

The Court acted on the department's concession. It did not set out the text of Clause 6.8(c)(i), examine the assessment order, or decide the merits or quantum.

FLAG Paragraphs 1–5 are the order of 19.10.2023 (Neutral Citation No. 2023:AHC:202879-DB). Civil Misc. Correction Application No. 3 of 2023, allowed on 30.10.2023, substitutes the dates used here: provisional assessment 12.01.2023 rather than 09.01.2023, inspection 09.01.2023 rather than 12.01.2023, and final assessment 19.06.2023 in paragraphs 1 and 3 rather than 15.06.2023. The recovery citation of 19.08.2023 and the supplemental reply of 31.03.2023 were not corrected. Earlier sheets (13.09.2023, 10.10.2023, 12.10.2023, 16.10.2023) are adjournments and the allowance of Civil Misc. Amendment Application No. 2 of 2023. On 19.10.2023 Sri Vinayak Ranjan held brief of Sri Kartikeya Saran for the Electricity Department. The order says 'Electricity Supply Code, 2005' without a 'U.P.' prefix; catalog key UP-2005::6.8(c)(i).

PRINCIPLE TAGS

assessment-quashed-for-breach-of-clause-6.8-procedure

The final assessment was quashed once it was not disputed that the order was non-speaking, had not considered the replies of 25.01.2023 and 31.03.2023, and did not comply with Clause 6.8(c)(i). ¶ 1-3

para-6.8-non-compliance-vitiates-assessment-and-recovery

Undisputed non-compliance with Clause 6.8(c)(i) led the Court to quash both the final assessment dated 19.06.2023 and the recovery citation dated 19.08.2023. ¶ 1-4

recovery-citation-quashed-and-remitted-for-fresh-order

The recovery citation was quashed because it rested on the quashed final assessment, and the Executive Engineer was directed to consider the reply and pass a fresh final assessment. ¶ 3-4

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND QUANTUM OF THE ASSESSMENT

Left to the fresh final assessment after the Executive Engineer considers the reply. The order records neither the assessed sum nor whether the inspection was of unauthorised use or of theft. ¶ 3

NOT DECIDED — THE TEXT OF CLAUSE 6.8(C)(I) AND THE PRECISE MANNER OF BREACH, INCLUDING WHETHER A PERSONAL HEARING WAS HELD

The Court accepted the undisputed submission that the order was non-speaking, had not considered the reply, and did not comply with the clause. It did not reproduce the clause or examine the assessment order. ¶ 1-3

NOT DECIDED — CONTENTS OF THE REPLIES DATED 25.01.2023 AND 31.03.2023

The dates are recorded. The Court did not summarise either reply; consideration of them is left to the Executive Engineer on remand. ¶ 1, 3